

Case Study

UPI / Online Payment Fraud (Real Incident with Source)

A real incident of UPI-related fraud was reported in New Delhi (2025), where fraudsters carried out a “UPI hijack scam” and stole around ₹20 lakh from a victim.

The Times of India

In this case, the crime began when the victim’s mobile phone was stolen. Step 1: The fraudsters gained access to the victim’s phone and SIM card. Step 2: Using the SIM, they accessed banking and UPI apps linked to the victim’s number. Step 3: They bypassed security measures like OTP verification because the OTPs were received on the stolen phone. Step 4: Multiple unauthorized transactions were made, transferring money from the victim’s bank account to fraudulent accounts. The victim only realized the fraud after receiving transaction alerts, by which time ₹20 lakh had already been withdrawn.

The Times of India

This case shows that UPI fraud does not always require tricking the user directly—it can also happen through device theft and misuse of linked financial apps. The primary targets in such cases are smartphone users who have UPI apps connected to their bank accounts without strong security measures.

The consequences are severe, including huge financial losses and difficulty in recovering money. Investigations later revealed that the accused were linked to over 100 similar fraud cases, showing how organized such cybercrimes can be.

The Times of India

Source: Times of India report on UPI hijack scam (2025).